

An Update On METAVERSE And CRYPTOCURRENCIES

According to a recent report from global market research firm Technavio, the metaverse real estate market share is expected to increase by \$5.37 billion from 2021 to 2026, despite the possibility of growth momentum decelerating. They attribute this growth to the increasing popularity of mixed reality and cryptocurrency



Volvo Cars launches XC40 Recharge on the metaverse (Courtesy: Volvo Cars)



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Another month of everyone trying to find their space in the metaverse—developers trying to up their game, enterprises showing off their initiatives, universities working hard to create a metaverse-capable generation, investors trying to make money, and more! Understandably, governments around the world are in a real dilemma—unable to discern whether this ‘disruptive’ force is here to stay or a passing fad, whether the crypto craze is good or bad, whether to tighten or loosen their hold, and whether they really have any control over something they cannot entirely see!

US senators, for instance, are trying to pass a bill in the Senate to elimi-

nate taxes on crypto transactions up to \$50. “While digital currencies have the potential to become an ordinary part of Americans’ everyday lives, our current tax code stands in the way,” said a Republican senator, “The bill will let people use cryptocurrencies more easily as an everyday method of payment by exempting from taxes small personal transactions like buying a cup of coffee.”

Currently, if someone sells virtual currency, they must recognise any capital gain or loss on the sale. The bill sees this as a roadblock to crypto adoption, and seeks to exempt smaller transactions from taxes. Yet, there is the risk of hackers and criminal organisations making use of potential loopholes in this bill